

EQUITY RESEARCH REPORT

Target Corporation

NYSE: TGT · Consumer Defensive

Recommendation

HOLD

Confidence

66%

Median Target

\$121.80

Analysis Date

2026-06-17

KEY METRICS

Performance Snapshot

Sharpe Ratio

-0.05

Risk-adjusted return

Annual Volatility

+35.5%

Annualized

Beta

0.95

Mkt sensitivity

RSI

56

Momentum (14-day)

INVESTMENT THESIS

Executive Summary

Target (TGT) presents a mixed picture with strong fundamental and technical signals, but significant macroeconomic headwinds and high anomaly severity warrant caution. The RAG agent highlights robust financial performance in Q1 FY2026, with sales up 6.7% to \$25.4 billion and net earnings of \$8.78 billion, while the Quant agent's BUY recommendation is supported by a strong uptrend (RSI=56.2), Golden Cross, and ROE of 22.0%. However, the Market Context agent notes lagging sector performance relative to peers like COST and WMT, with TGT underperforming on growth and margins, while the Analytics agent flags high anomaly severity (9.0) and a decelerating momentum trend. The Quant agent's Monte Carlo simulation contradicts its BUY recommendation with only a 42% probability of profit, further complicating the outlook.

FINANCIAL PERFORMANCE

Earnings & Growth

Metric	Current	Context
Sharpe Ratio	-0.05	Risk-Adjusted
Volatility	+35.5%	Annualized
Beta	0.95	vs. S&P 500
VaR (95%, daily)	-3.0%	Daily
P/E Ratio	17.46	Price / Earnings
Forward P/E	14.83	
ROE	+22.0%	Return on Equity
Operating Margin	+4.5%	Profitability

Price Indicators

INDICATOR	VALUE	SIGNAL
RSI (14)	56.2	Bullish
SMA 20	\$127.33	Short-term trend
SMA 50	\$125.77	Medium-term trend
SMA 200	\$105.64	Long-term trend
EMA 12	\$129.73	Short-term EMA
EMA 26	\$127.51	Long-term EMA
MACD	2.2154	Bullish
MACD Signal	1.4069	
MACD Histogram	0.8085	Expanding
Bollinger Upper	\$135.29	
Bollinger Lower	\$119.36	
BB Position	0.78	Mid-Band
Support Level	\$128.05	
Resistance Level	\$133.40	
Momentum (20d)	+777.0%	Short-term
Momentum (60d)	+1481.0%	Medium-term
Golden Cross	Yes	Bullish
Above 50d MA	Yes	
Above 200d MA	Yes	

Momentum Dashboard

TREND

Bullish

STRENGTH

100%

MA CROSSOVER

None

MOMENTUM

Decelerating

Supporting Indicators

- bullish
- bullish

Scenario Analysis

Metric	Value
Bull Case (p90)	\$194.65
Base Case (p50)	\$121.80
Bear Case (p10)	\$76.58
CVaR (95%)	-4.9%
VaR (95%)	-3.0%
30d Forecast	\$150.31

BULL CASE

\$194.65

BASE CASE

\$121.80

BEAR CASE

\$76.58

Price Distribution

P10 (BEAR)	P25	P50 (BASE)	P75	P90 (BULL)
\$76.58	\$95.52	\$121.80	\$155.46	\$194.65



Prob. of Profit: 42.4% Expected Return: -1.1% MC VaR (95%): -48.5% Simulations: 5,000 Horizon: 252 days

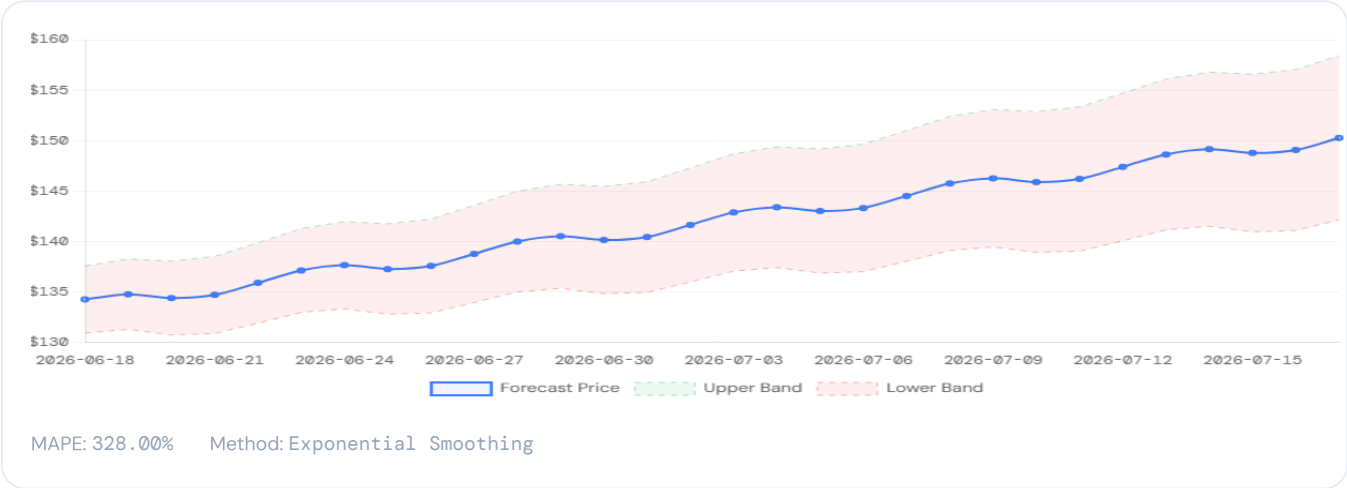
STRESS TEST

Scenario Impact Analysis

SCENARIO	MARKET DECLINE	PROJECTED PRICE
Market Crash 2008	-0.6%	\$60.87
Covid Crash 2020	-0.3%	\$89.44
Mild Recession	-0.3%	\$100.05
Dot Com Bubble	-0.5%	\$70.41

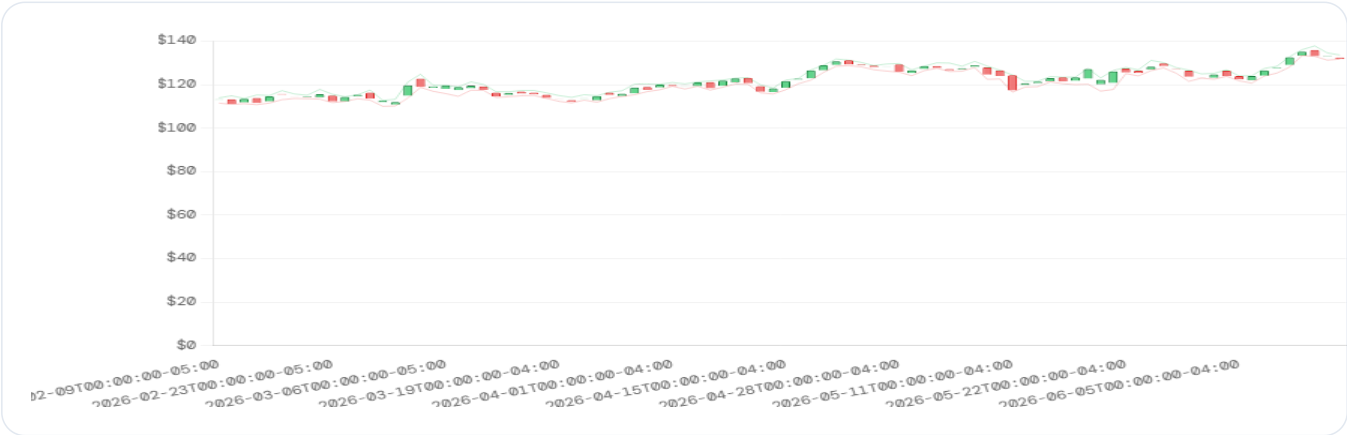
PRICE FORECAST

Exponential Smoothing — 30d Horizon



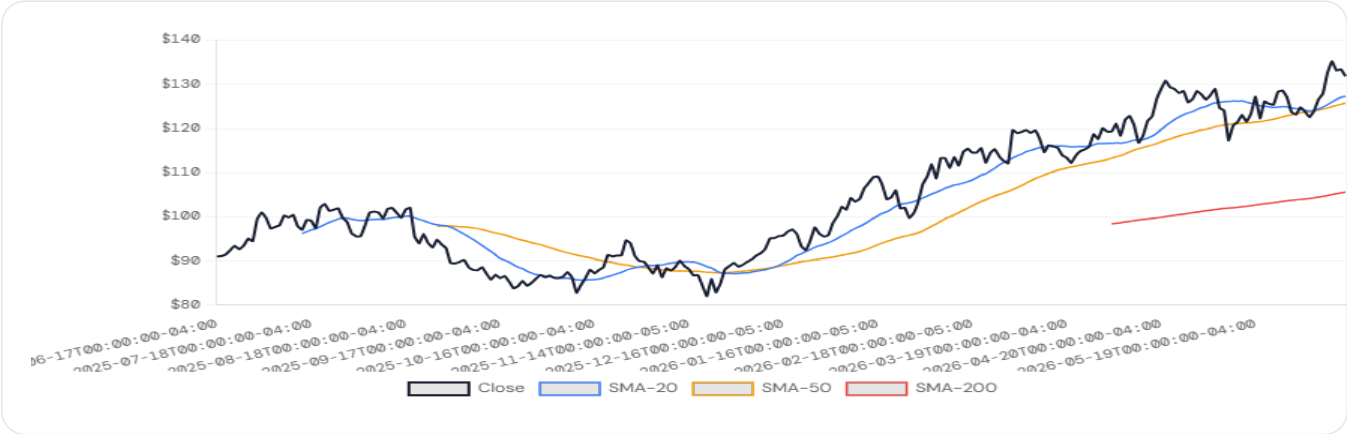
ANALYTICS

90-Day Price Action (OHLC)



ANALYTICS

Price & Moving Averages



ASSESSMENT

Investment Scorecard

Momentum

Bullish

Technical Outlook

Bullish

Quant Signal

BUY

Market Sentiment

Neutral

Analytics Trend

Bullish

Recommendation

HOLD

COMPETITIVE LANDSCAPE

Peer Comparison

Metric	TGT	WMT	COST
P/E Ratio	17.5	42.2	49.3
EV/EBITDA	9.1	23.1	31.6
Revenue Growth	6.7%	7.3%	21.5%
Operating Margin	4.5%	4.2%	3.7%
ROE	22.0%	24.1%	29.2%

BEHAVIORAL SIGNALS

Insider, Options & Analyst Activity

SOURCE	METRIC	VALUE
INSIDER	Activity Level	High
INSIDER	Direction	Neutral
INSIDER	Buy Signals	0
INSIDER	Sell Signals	0
INSIDER	Net Shares	0
INSIDER	Net Value	\$0.00
OPTIONS	Flow Signal	No Data
ANALYST	Consensus	Hold
ANALYST	# Analysts	33
ANALYST	Target Price	\$131.81
ANALYST	Target Upside	-10.0%
ANALYST	Short Ratio	2.6
ANALYST	Short % Float	+3.5%
SIGNAL	Behavioral	-0.10
SIGNAL	Technicals Trend	1.00
SIGNAL	Dcf Value	0.00
SIGNAL	Risk Quality	-0.60
SIGNAL	Technicals Momentum	0.25
SIGNAL	Fundamental Value	0.40
SIGNAL	Fundamental Quality	-0.10
SIGNAL	Peer Positioning	0.15

MARKET ENVIRONMENT

Macro Regime

flat yield curve with moderate volatility and stable DXY

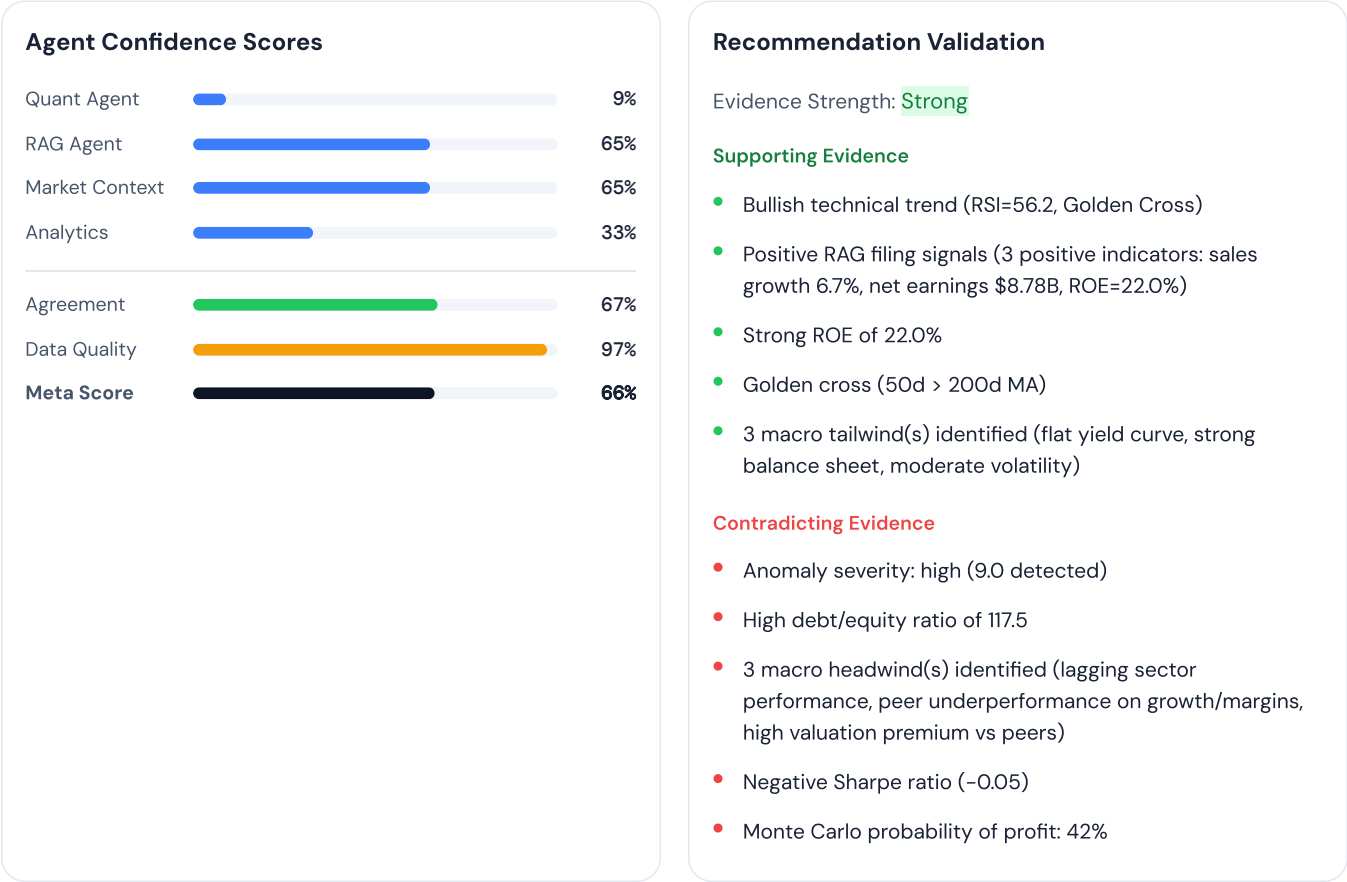
Detected Anomalies

PRICE	2025-07-01T00:00:00-04:00: price_spike
PRICE	2025-08-20T00:00:00-04:00: price_drop
PRICE	2026-03-03T00:00:00-05:00: price_spike
PRICE	2026-05-11T00:00:00-04:00: price_drop
VOLUME	2025-08-20T00:00:00-04:00: high_volume
VOLUME	2025-09-30T00:00:00-04:00: high_volume
VOLUME	2025-11-19T00:00:00-05:00: high_volume
VOLUME	2026-03-20T00:00:00-04:00: high_volume
VOLUME	2026-05-20T00:00:00-04:00: high_volume
CATALYST	Is Target a Hidden Value Play? - TGT Stock Analysis - YouTube: Target has had huge growth in the past several years in share price. In this video, we look at the financial statements and see if that rise is justified and...
CATALYST	TGT Stock Quote Price and Forecast CNN: View Target Corporation TGT stock quote prices, financial information, real-time forecasts, and company news from CNN.
CATALYST	Target Corporation (TGT) Stock Historical Prices... - Yahoo Finance: Discover historical prices for TGT stock on Yahoo Finance. View daily, weekly or monthly format back to when Target Corporation stock was issued.

Return Distribution & Correlations

Metric	Value	Interpretation
Skewness	-0.080	Near symmetric
Kurtosis	0.721	Light tails
Jarque-Bera p-value	0.0579	Approximately normal
Distribution	platykurtic	
Regression Beta	0.617	Market sensitivity
R-Squared	0.066	Weak fit
Corr: SPY	0.256	Weak

Reviewer Analysis



Contradictions Found

MEDIUM

recommendation vs Monte Carlo — Quant recommends BUY but Monte Carlo shows only 42% probability of profit
(Quant Analysis Agent (recommendation), Quant Analysis Agent (Monte Carlo))

Source Verification

AGENT	CLAIMS CHECKED	VERIFIED	RATE
Quant Analysis Agent	2	1	50%
Financial RAG Agent	2	2	100%
Market Context Agent	2	2	100%
Analytics Agent	3	3	100%

Assessment

Growth Opportunities

- Flat yield curve favoring defensive retailers with stable cash flows
- Strong balance sheet and dividend history aligning with quality asset preference
- Moderate volatility (VIX) reducing downside risk

Key Risks

- Lagging sector performance in consumer discretionary vs. tech/industrials
- Peer comparison shows TGT underperforms on growth and margins relative to COST, DLTR, and OLLI
- High valuation premium for peers like WMT (PE=42.2) and COST (PE=49.3), suggesting limited upside
- 2025-07-01T00:00:00-04:00 price_spike
- 2025-08-20T00:00:00-04:00 price_drop

CITED SOURCES

Cited Sources

- TGT_10-Q_2026-05-29.html
- TGT_news_Fri, 12 Jun 2026 20:15:00 +0000.txt
- TGT_news_Thu, 11 Jun 2026 19:34:45 +0000.txt
- TGT_news_Sat, 13 Jun 2026 19:13:00 +0000.txt
- TGT_news_Mon, 15 Jun 2026 10:01:00 +0000.txt

MARKET NARRATIVE

Market Narrative

Target (TGT) operates in a macro regime characterized by a flat yield curve (10Y=4.432%, spread=0.27), moderate volatility (VIX=16.57, down -14.76% over 5 days), and a stable U.S. dollar (DXY change -0.21%). Sector rotation shows mixed performance, with consumer discretionary slightly positive (+2.51%) but lagging behind tech (+9.15%) and industrials (+7.51%), while energy (-10.47%) and communication services (-5.15%) underperform. This environment suggests a preference for defensive sectors like consumer staples, which TGT is not part of (consumer_stap=-1.71%). However, the flat yield curve typically benefits value-oriented retailers with stable cash flows, aligning with TGT's business model. PIMCO's economic outlook highlights resilience in portfolios with liquidity and quality assets, which could favor TGT's strong balance sheet and dividend history.

EVIDENCE STRENGTH

Evidence Strength

Strong evidence supports the recommendation.

CONCLUSION

HOLD

66% Confidence

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